

Tab 1

An In depth analysis on the Economic viability of Integrating recent technology developments in Performing Arts Education

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Abstract

Holistic development of individuals with the introduction of performing arts has been recognised as a worldwide phenomena. Its importance has been addressed by the Indian government's emphasis under the new education policy with the introduction of the "My Book of Performing Arts" series that has to be compulsorily taught to children from the 3rd grade onwards. The Indian government has in its own way popularised and acknowledged its artists by awarding them various national awards as well encouraging their art by engaging them in official, formal gatherings. This paper addresses how important are performing arts in the overall holistic education of young adults? How far does this impact the development and earning capacity of an adolescent? Is this an economically viable route for all stakeholders e.g: parents, school and government? Does the Baumol Cost theory apply to this field? At what levels should performing arts be introduced to the child? Importance of recent technological development on the impact that performing arts has on children.

Key words: The Baumol Cost Theorem, Holistic Development, Education, Economic Viability, Socio-economic

1. Introduction

Holistic development is a complete educational strategy that helps in developing physical, intellectual, emotional, cognitive and social abilities in children. Encouraging children into performing arts teaches them at a very young age to be mindful of issues that are prevalent in society and the world as a whole. This is an excellent form of education that informs them in a playful manner about the environment, socio-economic, and geopolitical topics along with their impact on the world at large. It also provides them with an interesting environment whereby they are in a position to move away from digital gadgets which are the bane of nearly every household and parent. As the world is moving towards more and more gadgets, it is imperative that alternative, interesting, fascinating educational avenues like performing arts are introduced at an early age. [1]

Besides just the movement away from gadgets, integration of performing arts in education is an excellent modern way of teaching various concepts and theories.

Educators can integrate performing arts in classroom teaching and learning processes, making the environment joyful and in which students learn with interest, retaining various concepts as well as applying them to the real world.

Besides all of the above, the act of adopting performing arts helps the child in his/her growing years to be a more emotionally aware individual, taking setbacks and accolades in their stride. This art is extremely important and therapeutic for children who are mentally and physically disadvantaged. It becomes an imperative support system for both parents and the child in handling difficult situations. Most of these children are advised by therapists to adopt at least one or more of such arts so that they become better equipped to handle their disability as they become adults. Besides the above benefits that this industry is imparting to all, the economic theory the 'Baumol Cost Disease' is still applicable and flourishes under the era of digitalisation. Revenues are also earned from sponsorship by private institutions, governments and sale of tickets. This does not dismiss those sections of arts which have been on a decline due to either competition or lack of interest.

A comparison and application of the economic theory would be attempted in two major areas:

1. On the basis of analysis of secondary data for institutions like the Louvre and Broadway with respect to profit earned by these arts
2. Economic reasons for survival and decline of this industry in spite of over two hundred years of its existence



Figure 1 - Arts and education

Source: <https://education.vermont.gov/student-learning/content-areas/visual-and-performing-arts>

2. Definitions

2.1 Performing arts in education

The power of performing art education stretches beyond the traditional boundaries of drawing, painting and sculpting. The art of painting and drawing for a large number of children is a voyage of self discovery that enables them to express themselves in ways that words need not. This particular art does not mean that only beautiful, aesthetic pieces are being created, it is a forum whereby children can deal with the complexities of human emotions and thoughts. It is most important for an adolescent to deal with their sexuality and complexities that emerge due to the vulnerability associated with a child's mind.

There are a large number of issues which may be completely unimportant for a mature adult but for a young adolescent it takes on humongous proportions which lead to a lot of strife in their growing minds, resulting in negative thoughts and actions. To get the thought process back on track, performing arts, music etc. are an avenue for release of negativity.



Figure 2 - Pianist

Source: <https://www.istockphoto.com/photos/playing-grand-piano>

2.2 Holistic development

Holistic development means an all round development of a child. In today's world, children face pressures of life and studies at an early age. Extracurricular activities, especially those involving dance and music are important as they nurture creativity and at the same time positively impact cognitive, emotional and social skills, fostering mental growth and calmness. Music, both verbal and instrumental, directly appeals to one's sensibility and children find it easier to naturally express themselves through song, dance, and playing instruments even though they may not always be

intune. Besides this, participation in such arts helps in releasing happy hormones, like dopamine, serotonin and oxytocin, in the system which in turn helps young minds to face the complex world and make the right decisions. For example, dance forms inculcate team spirit, coordination, and synchronisation. Line formation which is an important aspect of dance is taught to toddlers to manage and coordinate motor control. Besides this, the fact that a lot of hours are spent in practicing, it results in camaraderie and friendship being developed amongst the participants. Dance further serves as an avenue to familiarise children with societal issues and teach them methods and strategies in addressing them. It is also a form in which there is a respect towards religion as concepts of historical importance are taught through various performing art forms. Scientific and mathematical concepts are easy to approach through these forms. This format is an easier way to learn and absorb compared to the traditional 'book' learning methods.



Figure 3 - Ballet

Source: <https://www.theguardian.com/stage/2022/jan/09/the-last-dance-why-prima-ballerinas-are-turning-away-from-the-tutu>

Thus holistic development involves art forms essentially leading to 'joyful learning'. Concepts that are difficult to understand in mathematics, science, history and physics are easier to relate to through dance, painting and musical instruments. These forms of teaching lead to children retaining complex concepts and making them 'think out of the box.'

2.3 Economic viability of performing arts

One of the major concepts of the economic cost involved in pursuing performing arts is the elasticity of income. Most people consider 'performing arts' as luxury goods indicating that these goods have a highly elastic demand. Price elasticities are considered with respect to the time and accordingly the cost per hour involved in pursuing these arts. Besides income levels and prices per

hour, age and education are other factors that need to be considered. As one is considering school-going children, a parent's income would directly impact the type of 'art form' that the child pursues. Besides income and price elasticity the other factors are:

- Gender
- Race and Ethnicity
- Religious affiliation
- Sexual orientation

A general regression equation could be developed to understand the dependent and independent variable, the actual numbers would depend upon factors that have been stated below.

Regression equation:

$$B_0 + B_1 Pi + B_2 Li + B_3 Ai + B_4 Ei + B_5 Gi + B_6 Ri + B_7 Reli + B_8 Si + \epsilon_i$$

Where:

Y_i → dependent variable (demand for performing arts)

P_i → Price of pursuing the art form

L_i → Household income

A_i → age of the child

E_i → Educational level (school grade or years of schooling)

G_i → gender

R_i → race

Rel_i → religious affiliations

S_i → sexual orientation

ϵ_i → error margin (unobserved influences in the model)

The error margin should be $\pm 10\%$ for the regression equation to be an acceptable one

3. Research gap

The paper would analyse the impact of performing arts on:

- i. Holistic development of children
- ii. Economic viability of the process of using performing arts through Baumol's Theory. For this, data available for revenue and sales for the Louvre and Broadway would be analysed.
- iii. Impact of technological development

4. Methodology

The methodology used would be both qualitative and quantitative. The quantitative aspect would use Baumol Cost Theorem and authentic secondary data. The examples of Louvre and Broadway would be compared to Indian performing arts where the data has to be anticipated as no official data is publicly available. The study would be depicted in both tabular and graphical formats.

5. Literature review

Some researchers like Ehrensaft (2001) indicated that "orchestral music is linked to consumers' increasing age, education and income" [2] indicating the role of cost, literacy and maturity

involved in performing arts. This is also true for dance forms like ballet (or any other Indian dance form like Bharatnatyam, kathak etc.) where not only is the costume expensive, but it being a niche dance form learning is also expensive. These forms are highly specialised and in most cases, the teachers themselves have undergone rigorous training and passed through various levels of expertise that imparting the art cost them a lot in terms of time, commitment and money. Applying Baumol's theory to the performing arts conforms to what is commonly stated as the Baumol Cost Disease. His original theory developed on the assumptions that in all industries, costs and prices tend to rise and thus for performing arts to be viable, their costs also increase. [3] Technical advances in recent years have developed the choice of learning the art through an 'online format.' This reduces the cost to some extent, bridging the gap for the artist between expenses and earnings/revenue. The performing arts are a peculiar case of that sector that cannot easily adopt technological discoveries. The problem in performing arts is the financing of this sector due to rising unit costs and the inability to increase productivity of the artists by adopting advanced technology. The industry is wholly and solely dependent on the artist's ability. The type of technology, if adopted, is used with respect to sound, equipment, stage lighting, electronic control, and audience comfort. But as far as the performance itself is concerned, it is the hard work of the artist which has to be measured. For example, if a play requires x number of performers, 50 years ago, it requires the same number of people today e.g, in 1877, when Swan Lake was first performed at the Bolshoi theatre, 60 ballerinas performed in Act I, today too, the same number of ballerinas are required for the same act. All this points to the fact that in 150 years of its existence, this art has neither increased nor decreased the number of artists in spite of huge advancements in technology. The above is a clear case of the 'Baumol's Cost Disease Syndrome.' Does this then indicate a death knell for such performances and arts? Or have they managed to survive due to technology being applied in advertisements, better sets, stage, sound etc. These performances are labeled eternal and the demand for them continues to exist, in spite of them being centuries old. [4]

6. Addressing the economic viability of the performing arts industry

6.1 Economic theory

The Baumol Cost Theory, also known as the Baumol Cost Disease, refers to the economic phenomenon where sectors with low or stagnant productivity growth experience high wages as these units have to compete for labour working with more productive sectors and earning higher wages. In the performing arts sector, however, productivity is not simply a function of increasing the number of labourers. Adding more artists does not inherently increase output, since many performances require a specific number of performers, and the artistic value is often derived from the creative vision and execution, rather than the scale. Therefore, when applied to this industry, the Baumol Cost Theory highlights that the sector costs and wages increase because of wage competition in other industries.

The demand for such arts also depends on the audience:

- Level of income

- As this sector is considered a luxury good, all theories with respect to elasticity of income and price are applicable
- This also becomes an important medium through which minorities express themselves
- The demand and supply depends upon the type of art; whether it is:
 - a. Performing arts
 - b. Non performing arts

6.2 Application of Simultaneous equations in determining the viability of performing arts

If a single equation is used to explain the performing arts market as a recursive process in which supply decisions are not determined in the same time period as demand, it would lead to a lag between supply and demand which may not be applicable for this art form. On the other hand, a better barometer would be using simultaneous equations where the demand for art is dependent on a number of several equations, simultaneously being impacted. A prototype of the equation is indicated below where most of the relevant variables have been considered.

Equation for Demand:

$$Q_t^d = a_0 + a_1 P_t + a_2 Y_t + a_3 Pop_t + a_4 Adv_t + a_5 P_t^{sub} + a_6 Season_t + u_t$$

Q_t^d = Quantity demanded in time period 't'

a_0 = Constant when all dependent variables P , Y , Pop , Adv , P^{sub} , $Season = 0$

P_t = cost of the performing art in time period 't'

Y_t = Income of the users in time period 't'

Pop_t = population learning performing arts in time period 't'

Adv_t = amount on advertising performing arts in time period 't'

$p_{sub,t}$

= investment by public/private sectors in promotion of performing arts in time period 't'

$Season_t$

= this would be more applicable in areas which have extreme winters and summers where children might find it difficult to go to the institutes

u_t

= represents structural shocks; a very apt example is the COVID-19 Pandemic.

a_1, a_2, a_3, a_4, a_5 are constants and indicate the weightage given to each of the dependent variables

Equation for Supply:

$$Q_t^s = \beta_0 + \beta_1 P_t + \beta_2 W_t + \beta_3 Cost_t + \beta_4 Cap_t + \beta_5 Subsidy_t + v_t$$

Q_t^s

= Quantity supplied in time period t.

β_0

= Constant when all dependent variables P, W, Cost, Cap, Subsidy = 0

P_t

= cost of the performing art in time period 't'

W_t

= performer ages over time period 't'

$Cost_t$

= Venue and production costs over time period 't'

Cap_t

= Capacity of performing arts theatres where arts are displayed

$Subsidy_t$

= public/private support over time period 't' (this includes CSR activity by companies)

ν_t = represents structural shocks

$\beta_1, \beta_2, \beta_3, \beta_4, \beta_5$ are constants and indicate the weightage given to each of the dependent variables

Given the paucity of data and time, it was difficult to calculate the constants as well as the variables for both the demand and supply equations over time. In the case of the demand equation, P_t and Y_t are more important than the others. Similarly, for the supply equation P_t and W_t carry more weight than the others stated.

6.3 Factors that influence the demand for performing arts

Education of the parents is the single most important factor which is responsible for an increase in the demand of performing arts. The other factors that play key roles are:

- Social class
- Occupation
- Income
- Ticket prices
- Culture (childhood exposure)
- Lifestyle determinants (attitudes, socialisation and lifestyle factors)

7. An attempt would be made to economically compare the viability of Broadway Theatre (UK) and the Louvre Museum (Paris) Hypothesis 1 : Comparison using Baumol's Cost Theory for Broadway (UK), the Louvre (Paris) and other less popular performing arts

The aim of the study is to prove/disprove:

- i. The 'Baumol's Cost Disease' for the performing arts
- ii. Broadway and the Louvre make money through selling tickets
- iii. Performing arts in India do not make money by selling tickets but survive due to:
 - a) Sponsorship
 - b) Government Subsidies/aid
- iv. Higher valuation of performing arts result in larger disbursement to the artists
- v. Performing arts helps in the overall development of children in schools (private, government aided and public)

Table 1: Broadway Theatre, New York

Years	Gross Earned (millions)
2018-2019	1829
2019-2020	1358
2020-2021	-

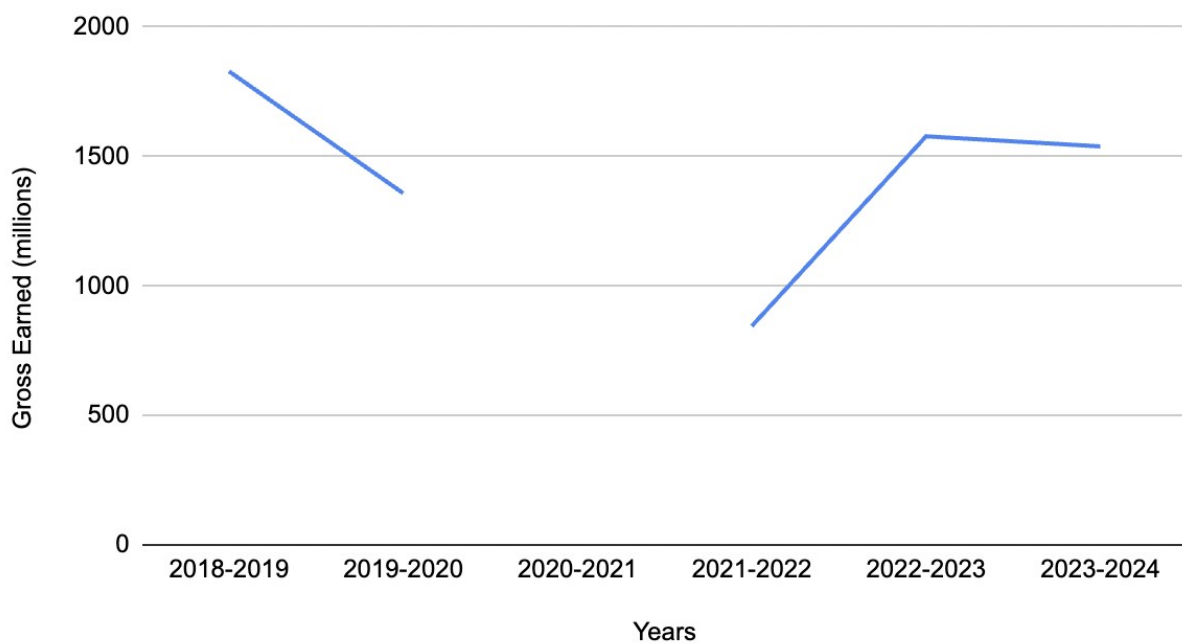
2021-2022	845
2022-2023	1578
2023-2024	1539

Source: <https://www.broadwayleague.com/research/statistics-broadway-nyc/>

The above table has been indicated in the graph below

Graph 1:

Gross Earned (millions) vs. Years



Source: <https://www.broadwayleague.com/research/statistics-broadway-nyc/>

The gap in the graph indicates that there was no earning during the pandemic year.

The numbers with respect to demand in 2023-24 had not reached the pre-pandemic level.

The economic earnings of Broadway Theatres primarily depend upon the sale of tickets. The larger the publicity (visual and word of mouth) increases the number of viewers and thus the earnings of the theatre. This is one case where the Baumol's Cost Disease has not been followed.

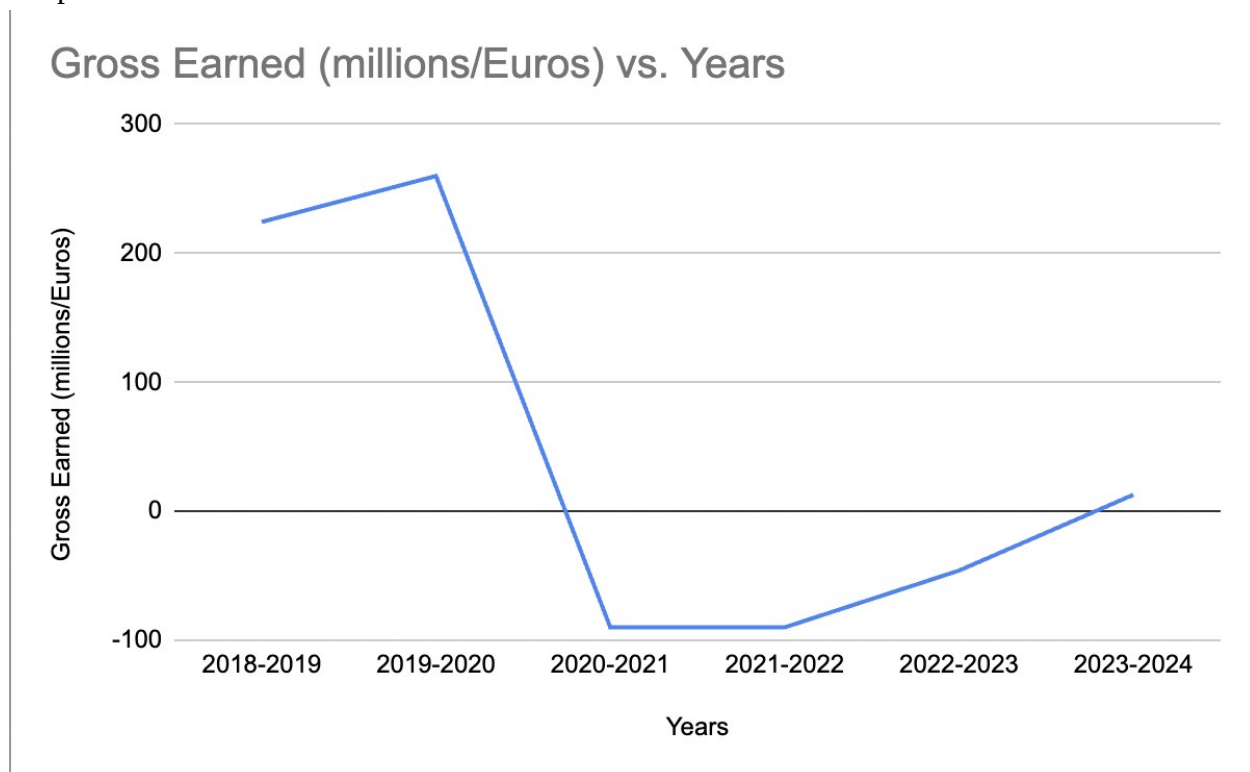
Table 2: Louvre Museum, France - An example of the economic impact of a non performing art

Years	Gross Earned (millions/Euros)
2018-2019	224.4*
2019-2020	260*
2020-2021	-90
2021-2022	-90
2022-2023	-46
2023-2024	12.8

Source: <https://www.statista.com/statistics/1536976/louvre-museum-paris-net-income/>

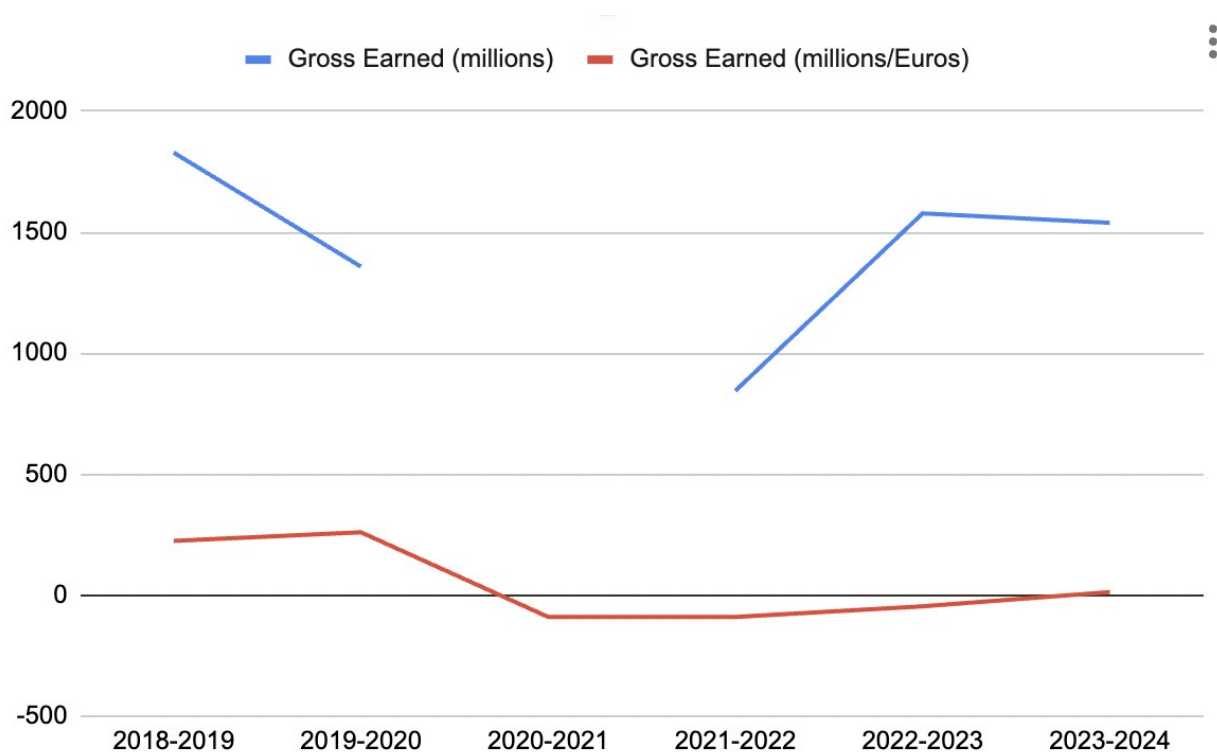
*Indicates own calculations by multiplying ticket sales, sponsorship, government funding all of which have been individually indicated as the Louvre did not announce its exact annual profit earned for these years. All the other years, they have indicated the amount.

Graph 2:



Source: <https://www.statista.com/statistics/1536976/louvre-museum-paris-net-income/>

Graph 3: Comparison of the Broadway Theatre vs Louvre Museum over the years



The blue line on the graph indicates Broadway and the red line indicates the Louvre. Both of them faced a loss during the pandemic years while in the other years, they were making profits.

7.1 Critical analysis of Baumol's cost theory to performing arts

Performing arts does not conform to the conventional economic theory that states the following:

- Increasing labour would increase productivity
- Automation enhancing efficiency

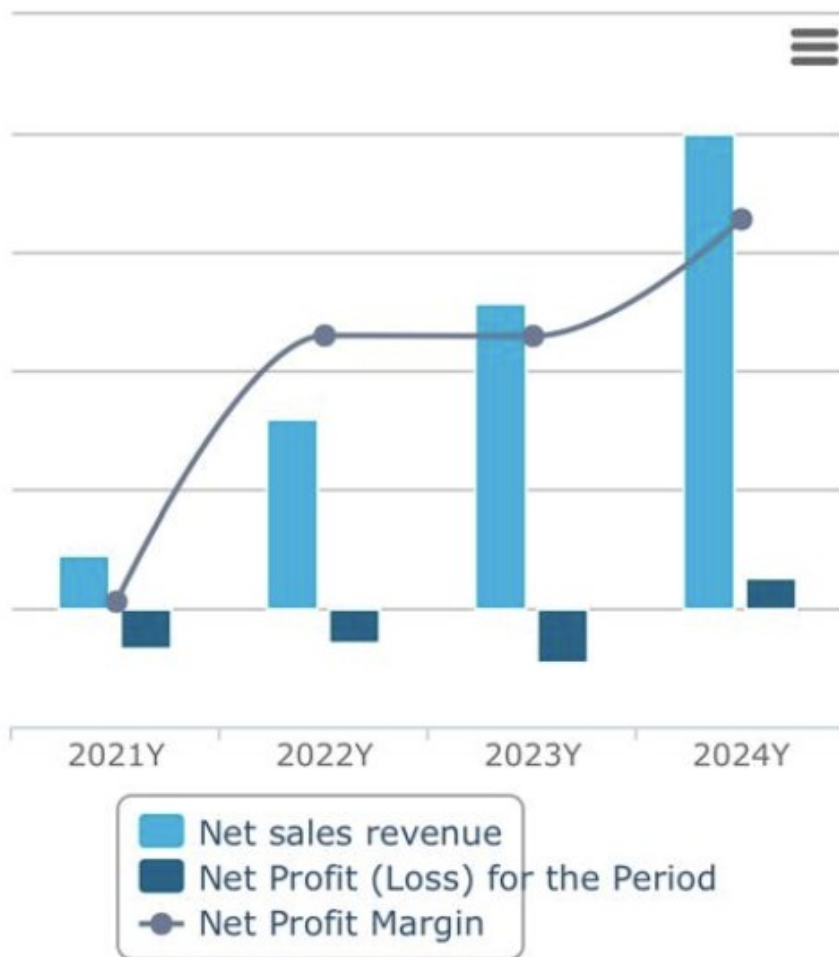
This particular field requires a fixed level of highly skilled human labour, while at the same time the operational costs of performing and exhibiting have been continuously on the rise. As the science of acoustics, stage management and musical instruments increases, the cost of each performance/exhibition also rises. The possible ways that this field manages this increase is through:

- Higher ticket pricing
- Alternative avenues of exhibitions e.g: through the digital space and the online mode.
- Earnings from these alternative modes add to the revenue of the performing arts sector.
- This sector is dependent majorly on government support and recognition. As by themselves, it becomes difficult for the art and artist to be accepted universally.
- Another form of financing is sponsorship by individuals and companies that work towards promoting this sector.

8. Comparison of the performing arts sector in developed (Louvre and Broadway) and developing economies (India)

In the case of India, given the income disparity as well as the low income earnings of its citizens, most museums and other forms of entertainment like the ‘zoo’, ‘national museums’, ‘doll museum’ etc work on a no profit, no loss basis. All wage payments of its employees are met out of funds that are provided by the government, or through the sponsorship model/avenue. As the Indian government is continuously supporting various art forms in different ways e.g: provision of exhibition space, stage, wages of employees, accommodation for senior artists, funding for exhibitions within and outside India and promoting the arts in their various embassies around the world. Private companies have started promoting traditional arts, making it more accessible and visible for both the artists and the audience to achieve greater reach amongst the people. Private events like ‘The Jaipur Literature Festival’, centres like the ‘National Centre for Performing Arts’ (NCPA) and Meta Mahindra Excellence in Theatre are all dependent on the sponsors rather than the sale of tickets, which is diametrically different from the models that function in developed countries (the Louvre and Broadway Theatre). [5]

Graph 4: Extent of Sponsorship for Jaipur Literature Festival



The above graph indicates the extent to which sponsorship is important for the continuous popularity of the JLF. The festival started in 2013, with 4 crores, and in 2014, Zee Films decided to be their main sponsor however in subsequent years, the number of main sponsors have increased, indicating the extent to which this particular festival has grown. No published data is available on the funds that come from sponsorships. As the number of sponsors have increased over the years, it is deduced that there is an increasing amount of money coming through sponsorship. The table above also indicates increasing profit margins over the years.

The Kiran Nadar Museum of Performing Arts, KNMA, works on a no profit, no loss model. All their expenses are met by HCL and they are sponsored primarily through the Shiv Nadar Foundation.



Table 3: HCL Foundation - the amount spent on CSR per year

Year	Amount spent on CSR in crores
2018-2019	160.00
2019-2020	176.29
2020-2021	195.16
2021-2022	216.00
2023-2024	237.37
2024-2025	1400.00

Source: <https://www.hclfoundation.org/sites>

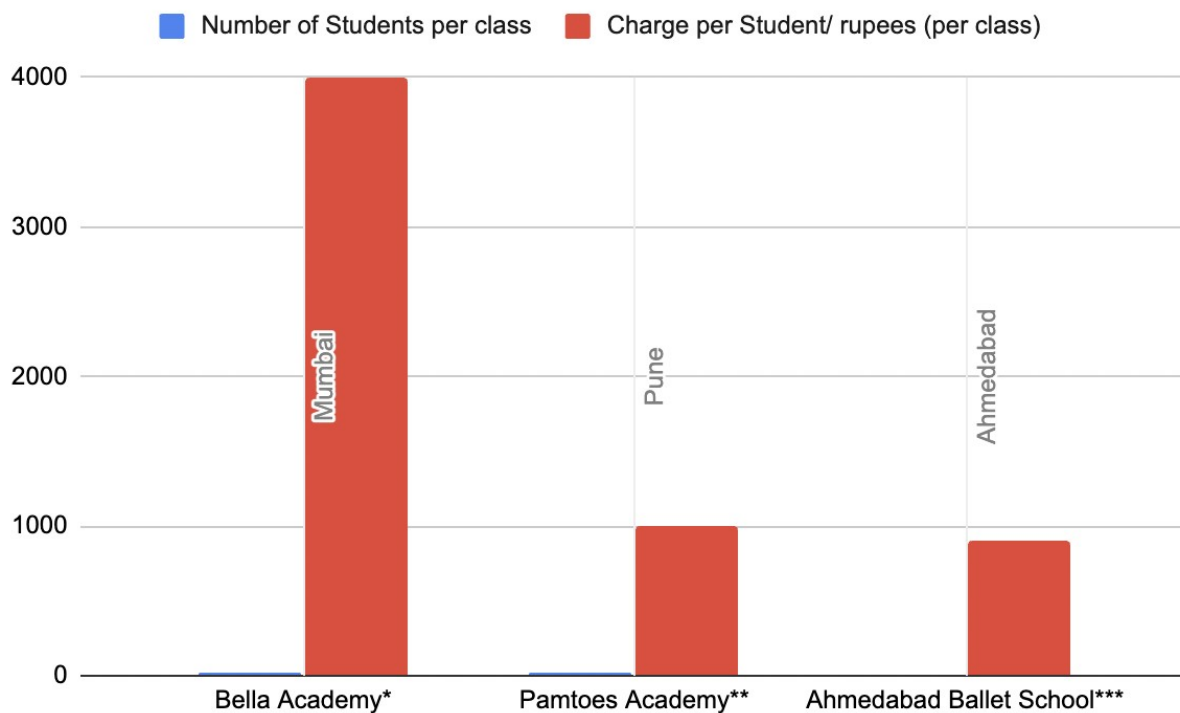
The HCL foundation is one of the main sponsors for the Kiran Nadar Museum of Arts and other such activities. Presently, this foundation is building a 100,000 square metre museum. This will serve as a state of the art cultural powerhouse, as well as fulfilling the ambition of the trustees to promote art and culture. This has been funded by the Shiv Nadar Foundation (Shiv Nadar is the owner of the HCL corporation). The expected cost in 2012 was 200-500 crores, all of it being provided by the Shiv Nadar Foundation.

Comparison of different dance schools in various cities (tier 1 and tier 2 cities)

Below is a comparison of charges per child, and the number of students per class in different ballet dance schools across India

Table 4

Name of the School	City	Number of Students per class	Charge per Student/ rupees (per class)
Bella Academy	Mumbai	15	4000
Pamtoes Academy	Pune	20	1000
Ahmedabad Ballet School	Ahmedabad	12-15	900



Graph 5

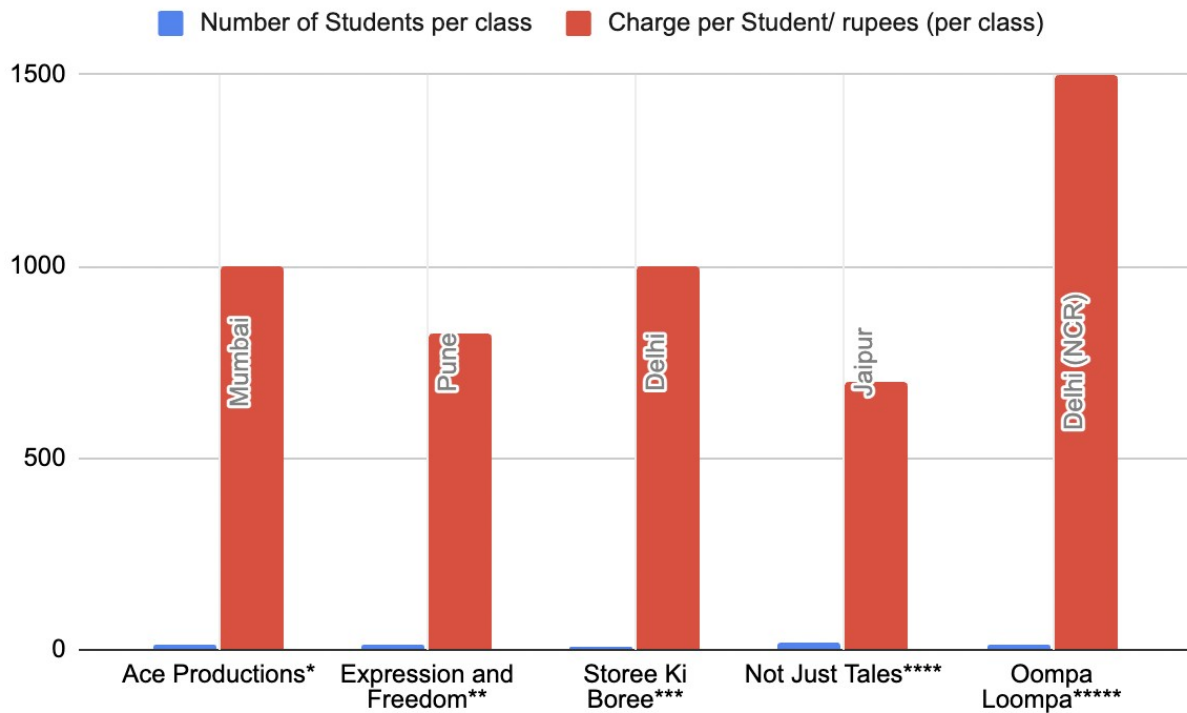
Source* bellaacademy.in , ** justdial.com , *** justdial.com

Below is a comparison of charges per child, and the number of students per class in different theatre institutions across India

Table 5

Name of the School	City	Number of Students per class	Charge per Student/ rupees (per class)
Ace Productions	Mumbai	12	1000
Expression and Freedom	Pune	15	823

Storee Ki Boree	Delhi	10	1000
Not Just Tales	Jaipur	20	700
Oompa Loompa	Delhi (NCR)	15	1500



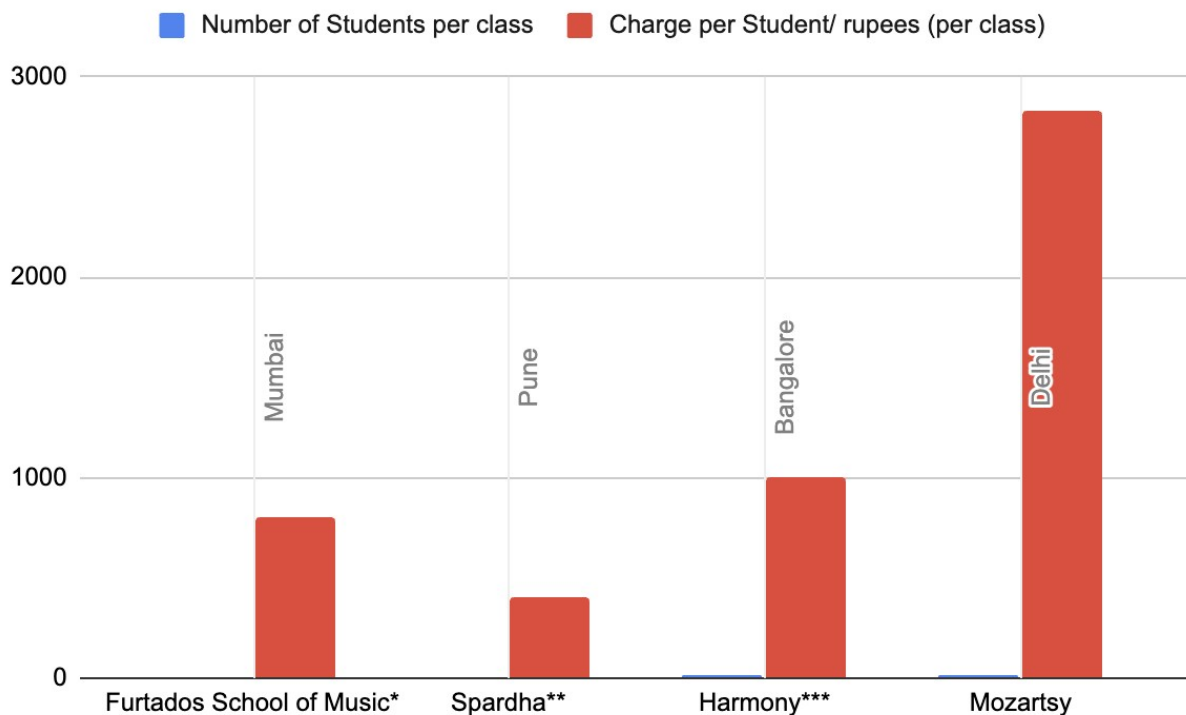
Graph 6

Source* aceproductions.in , **expressionandfreedom.com , *** storeekiboree.com , **** notjusttales.com , ***** instagram.com/oompaloompamusicals/

Below is a comparison of charges per child, and the number of students per class in different music schools across India

Table 6

Name of the School	City	Number of Students per class	Charge per Student/ rupees (per class)
Furtados School of Music	Mumbai	1	800
Spardha	Pune	1	400
Harmony	Bangalore	10	1000
Mozartsy	Delhi	15	2828



Graph 7

Source: * furtadosschoolofmusic.com , **spardhaschoolofmusic.com , ***harmony-theschoolofmusic.com ****mozartsy.com

Through this data it is evident that for privately run companies, the Baumol's Cost Theorem works in both tier 1 and tier 2 cities. In Mumbai for example, the cost of living and rental is high, hence, performing arts institutions change more (based on the popularity and the expertise advertised). In larger cities, performing art institutions may also be registered companies and tend to have greater numbers of students leading to increased revenue. As a result, performing arts education tends to be more expensive in larger cities.

The new trend in trying to propagate the heritage of classical music and instruments and at the same time, making it more accessible, there are people who hold concert evenings at their homes where people can come and listen to classical music. In the bargain, they arouse a sense for these arts amongst their children. Examples of these are "evening unplugged", these "baithaks" charge a nominal amount for the concert and dinner. The advantages being the easy accessibility to classical music, closeness to the artist and avoiding traffic jams which they would have to face if they travelled to a regular auditorium. [6]

There are large numbers of corporate entities which have taken upon themselves, to promote and increase the visibility of performing arts. Two main examples are the Nita Mukesh Ambani Cultural Centre and the Kiran Nadar Museum of Arts. The funding for this is solely through the foundation arm of their companies.

Limitations of Data in India

In India, most performing arts institutes work on a no loss no profit basis. They receive their funding through beneficiaries, rather than charging their audience exorbitant ticket prices. The Indian government has made it legally mandatory for large companies to spend a percentage of their profits towards CSR activities, an example of the HCL foundation is showcased below. However, CSR activity is not limited to performing arts, and covers a broader range of fields like education, healthcare etc. An almost negligible amount of money is being spent through CSR activities in the performing arts sector. Another limitation with this model is large companies spend most of their CSR funds in cities where they are located, rather than other cities. This significantly limits the funding received by performing arts institutes in smaller cities due to a lack of larger companies being located there.

Referring to tables 4 to 6 the model of imparting performing arts education in the private sector is to conduct workshops and classes for children and adults to encourage children and young adults to discover their passion and while doing this, these workshops make significant profit. Data is not easily available as these are privately run and it may be in the informal sector where even well-known artists may not give a receipt or be a part of the GST system. However, the prices they charge (table 4 to 6) definitely indicate their popularity and high rates of earnings.

When we consider famous Indian artists in various sectors like dance, visual art and music, there is limited data on the business aspect of their art. It is difficult to apply the Baumol's Cost Theorem for most of the artists in India, due to paucity of data. But, there are other ways in which one can judge whether their art, their studio, their popularity is increasing. This is estimated in the number of students that they teach, the waiting periods for parents to admit their children, the continuous increase in the fees over the years for imparting their art and the number of performances that they are engaged in both in India and outside the country. A famous example is that of Birju Maharaj, an Indian Kathak dancer who primarily increased his earnings through performances, teaching, choreographing and eventually government recognition which gave him a free place to teach, live as well as a government stipend. Tickets to his performances ranged from Rs. 780 - Rs. 1600 in 2019 at the age of 80 (he passed away at the age of 83 in 2022). [7] Thus in his case, the Baumol Cost Theorem is applicable as performing Kathak takes the same amount of time and effort as it did 50 years ago but his earnings would have inevitably increased over time keeping up with inflation, popularity of the art and artist and growing opportunity cost foregone leading to higher salaries for his team. If they did not keep up with dispersing higher wages, artists like him would be forced to leave their arts for higher paying jobs. This applies not only to his performances, but also to all other activities, including his tutoring and choreography in films and live performances. While the amount of effort he would have had to put in 50 years ago versus the present stays the same, his earnings have increased to keep up with his popularity and inflation. In order to increase his prices, however, it was imperative for him to diversify his art, and also keep in mind the competition. Birju Maharaj grew his business through his involvement in Bollywood,

choreographing dances for films like *Umrao Jaan* and *Ishqiya*, which solidified his position as a cultural icon. Furthermore, he also got significant recognition from the government, increasing his popularity as an artist. He was awarded the prestigious ‘Padma Vibhushan’ award, India’s second highest civilian award, as recognition for his talent and hard work. This further allowed him to increase the value of his services. In his case, the Baumol’s Cost Disease is an apt example of why performing assets have become expensive over time. Furthermore, the same principle applies to visual art. Indian visual artists like Satish Gujral made profit through selling their paintings, sculptures and architectural designs. While the time taken to make these paintings is the same 50 years ago and today, the prices of his works of art have increased significantly. This displays another example of how prices have increased, due to increased recognition, despite productivity being the same.

The ‘Garhi’ Artist Studios in New Delhi is a multidisciplinary art space, established by the national fine arts academy Lalit Kala Akademi. It was portrayed as an affordable community space for artists by modern sculptor Sankho Chaudhuri. Artists utilising the facility can choose to rent individual or shared studios for a small monthly fee for a maximum of three years. The main aim of this establishment is to support young and upcoming artists to pursue their art form with minimal establishment costs. ‘Garhi’ itself is a non-profit body. Whatever money is earned goes towards the maintenance of art studios and to raise public awareness for the different art forms. The money earned by the artists are kept with them. This reiterates that there has to be synergy of government recognition and involvement in popularising both the artist and the art. The government dispenses its role in recognising artists through various awards. The Padma awards in India are a series of civilian honours ranked in the following hierarchy: Bharat Ratna, Padma Vibhushan, Padma Bhushan and Padma Shri in this order. Being a recipient of these awards demonstrates strong talent and passion for the individual's profession. As a result, a large number of artists given these awards, use it as a platform for strengthening their artistic achievements within and outside the country. [8] Having received a high level of recognition, artists are in a position to charge higher prices for their services, thereby increasing their earnings. If this is translated according to the economic theory of Baumol, then it proves that performing art follows the expected trajectory.

Rishabh Rikhiram Sharma, one of the last students who was tutored under Ravi Shankar has gained a lot of fame in recent years at a prime age of 26. This prodigy has received accolades not only in India, but outside the country too. He has been awarded prestigious platforms by the government to showcase his unique artistry. The Indian government invited Rishabh in 2024 to perform for Indian athletes at the Paris Olympics closing ceremony. Furthermore, he was chosen to perform at high profile events attended by Indian dignitaries, such as Prime Minister Narendra Modi’s “Howdy Modi” event in the US, which gave him the opportunity to represent India on a global platform. These events have been pivotal in Rishabh’s career by providing him with opportunities that gave him international recognition. This is one of the examples of how the Indian government provides assistance to its artists by giving them recognition through awards, as well as providing them with unique opportunities to perform. The acknowledgement they gain from these

opportunities serves as an avenue for them to grow their skill and earnings, conforming to the Baumol Cost Theory.

Importance of recent technological development on the impact that performing arts has on children

Recent technological developments have had an impact on various performing arts artists at different levels. One field of performing arts that has experienced a positive impact as a result of technological development is the music sector. Instruments and the quality of sound have improved, leading to heightened performance quality, but there are numerous individuals who are against the use of technology in this industry, as it has been found that artists, in increasing their visibility, often resort to lip synchronisation while performing live for various audiences which detracts from the talent that these artists claim to have. Sometimes in achieving an extraordinary number of live performances which may not be humanly possible, technology is utilised to increase their visibility and thus earnings. Such mechanisms take away the importance of the artist and his/her skill, resulting in some of them being less competent than they are. It further belittles the capability of the artist, making it near impossible to differentiate a good artist from a great one. A paramount example of this is the Coldplay concert which took place in Mumbai in 2025 where Jasleen Royal, a popular, talented Indian artist performed at this concert belting songs that were not in tune indicating that her lack of talent was being substituted by advanced technology. She is known to be a great songwriter but may not be a great musician. To fill this gap, she used technology. This resulted in a poor performance and a question mark on her singing ability. Not all inept performances of artists can be covered with the use of technology. The art forms that come under the use of minimal technology are all types of dance and visual art. In these art forms the acoustics and the material used is impacted by superior technology, but in all of this it is the artist and their skill which is on display.

Is integrating performing arts into education an economically viable route for all stakeholders: Financial impact on parents and schools in using this form to address holistic development
The economic viability of the above is definitely positive as it has been addressed by a number of artists who have increased their earning capacity with active encouragement from the government. As far as students learning the art are concerned, even if it doesn't turn out to be a full-time profession, the power that this has to calm one's mind definitely works towards greater work effort, concentration and perfection, resulting in an automatic increase in their earning capacity. But, it is difficult to value this in numbers due to the paucity of data. As far as educationalists and parents are concerned, the results of emphasis on participation in performing arts helps them in bringing up children in a holistic manner.

Financial Impact on Performing Artists

The present performing arts market in India is valued at \$3.8 billion in 2025.¹ The figures below are from the Ministry of Information and Broadcasting, Government of India and the definition of performing arts used is traditional art forms like dance, music and theatre.

Statistics on the performing art market and its growth in 2027 is expected to be \$7 billion according to the above source.

Listing of growth in various performing arts from 2020 to 2023:

Table 7

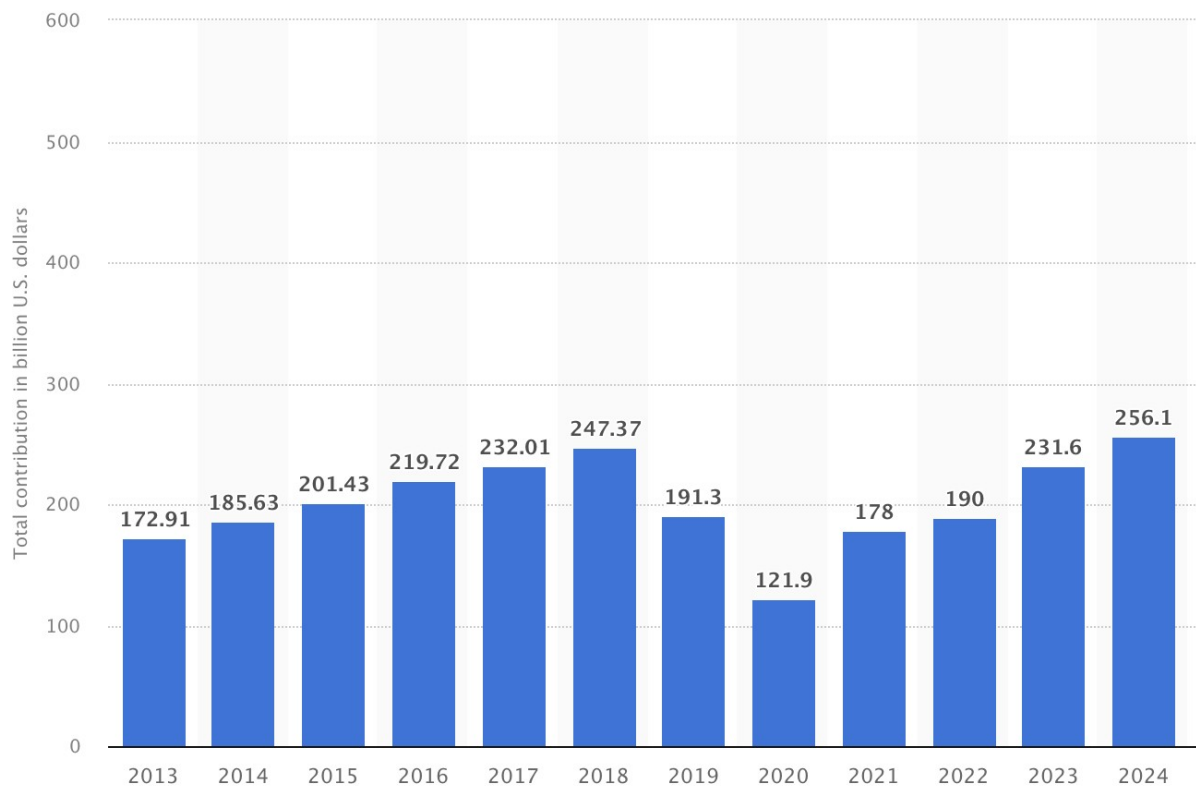
Year	Contribution of the performing arts sector to GDP in crores/USD
2020	50,000 crores [source: British Council, FICCI and Art X Company]
2021	30,440 crores [source: British Council, FICCI and Art X Company]
2022	Authentic statistics not available
2023	USD 144.3 million [source: Grant Thornton Bharat]* This is turnover and not a contribution to the GDP

*According to the source, there was a 9% increase in turnover from the previous year and a 6% increase in the number of works sold in 2022. This source seems to focus on artworks more than any other performing art.

Impact of tourism on GDP in the Indian economy (all figures in the table are in millions)

Graph 8

¹ *Financial Express* (2022)



Source: [statista.com](https://www.statista.com)

While there is scattered data on different types of performing arts, there is limited data on ‘performing arts’ as a whole (cumulative data on music, dance, theater etc). This graph has been used to showcase India’s cultural heritage in all its forms as tourism would inevitably attract the above form of arts in India, augmenting their visibility. This helps to increase the overall turnover and revenue of performing artists. With increasing revenue, artists are likely to be inclined to spread awareness of their art in improving holistic development of Indian children and adolescents. All figures indicate that there was a dip in the covid years, which has shown signs of recovery from 2023.

Financial Impact on Parents

When performing arts are integrated with education, it is likely that the fees demanded by schools increase. The data below compares the fee per annum for schools that integrate performing arts into their curriculum versus those that have minimal engagement with the arts.

Table 8: Schools that integrate performing arts into their curriculum and their fee per annum

Name of the School	Fee for 1 year
Laureate Public School, Himachal	Rs. 235,000 [Source:

	https://www.laureateshimla.com/fee-structure/
Dhirubhai Ambani International School	Rs. 1,000,000 [Source: https://truemaths.com/dhirubhai-ambani-international-school-admission/]
Kilvington Grammar School	30,688 AUD [Source: https://www.goodschools.com.au/compare-schools/in-ormond-3204/kilvington-grammar-school/fees]
Montclair Kimberly High	53,340 USD [Source: https://www.mka.org/admissions/tuition]

Table 9: Schools that have minimal performing arts education in their curriculum and their fee per annum

Name of the School	Fee for 1 year
Indian government schools	Tuition free
US public charter schools	Tuition free

Limitations

The main limitation is the lack of data for the various aspects that have been researched with respect to India. This is not so in the case of Broadway and the Louvre. For example, in the table (xyz) above, though the fees have gone up, there is no separate heading to indicate the expense spent on performing arts education. Most private schools in all countries have added some type of performing arts in their regular curriculum. Government schools who charge minimal fees, on the other hand, have added performing arts to their syllabus, but again, there is no separate heading to indicate the expenditure on either them or the child.

Development and earning capacity of adolescents who decide on performing arts as their career

In recent years, performing arts has been a career option that is being considered by both parents and children. This is largely due to the number of avenues available for artists to portray their talent. Digitalisation and internet facilities have opened a whole new world where artists can claim more fame, and in certain cases, even make a career out of it. This is true for various forms of performing arts, like dance, singing and theatre.

With the rise of OTT platforms (Netflix, Prime Video etc.), movies, TV shows, private shows and social media, performing artists have the opportunity to broadcast their performances to a wider audience worldwide which results in talent seekers finding their artists. This is a main platform in today's world, where individuals are recognised and employed. The wider the reach a particular

artist has, the greater the benefits. Digitalisation has led to more opportunities and thus a higher payout for the artist. [9]

The main limitation of this analysis is the lack of statistics on the extent of profit that an artist collects as this is private income and is not visible on public domain.

The amount of money earned by artists through digital platforms varies greatly and is based on factors like:

- The platform they use
- The number of followers
- The work they get
- Sponsorships
- Brand management

There is a qualitative understanding of the increased opportunities and recognition that performing artists gain, by their popularity and the increasing platforms that they are showcasing their talent.

Conclusion and the Way Forward

To conclude, performing arts is an important factor, affecting the development of adolescents significantly. This claim has been validated by the NEP. Their recognition of performing arts as a major milestone in the learning process for children has prompted numerous schools in India to adopt performing arts education into their curriculums. “In essence, the NEP 2020 envisions a comprehensive and integrated approach to art education that is not just about learning art forms but also about using art as a powerful tool for holistic learning and development. “ NCERT [NEP July 2025] This further establishes the necessity of performing arts in the overall holistic development of an individual.

The Baumol Cost Theory is also applicable in the performing arts sphere. However, the exact profit details are not available for individuals or institutions in India as their results are not publicly declared, but, for Broadway and Louvre, case studies which have been analysed, and have indicated that Baumol Cost Theory is applicable.

While there are significant costs involved in integrating the arts into standard academic curriculums, the exact return is difficult to evaluate especially in India (lack of data). It becomes difficult to give a quantitative number on the benefits received by all stakeholders. The only way that one can evaluate the impact is in the overall personality of the child and his/her growth path trajectory in life. This evaluation can be both quantitative and qualitative if adequate time and data is available across regions and over time.

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